PAKISTAN
POWER

April 21, 2026

REP-019

MARKET VISTA

HUBC & NPL 3QFY26 Result Preview

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- **We expect earnings for the AKD power universe to grow during 3QFY26E, primarily due to i) surge in subsidiary profits, and ii) lower finance costs.**
- **We anticipate HUBC to announce an interim cash payout of PkR5.0/sh during 3QFY26E, while no dividend is expected from NPL during the quarter.**
- **At current levels, the revised TP of PkR215/sh for Dec'26 culminates in a 'HOLD' stance on HUBC, while we maintain our previous 'HOLD' on NPL with an unchanged target price of PkR87/sh.**

Universe profitability to increase 7%YoY in 3QFY26E: We expect earnings for the AKD power universe to clock in at PkR14.0bn (+7%YoY/+10%QoQ) during 3QFY26E, taking 9MFY26E cumulative NPAT to PkR40.6bn (+12%YoY). The improvement is primarily driven by i) 11%YoY/8%QoQ surge in share of profits from HUBC subsidiaries to PkR11.3bn, due to higher oil prices and growing auto segment contributions from both HUBC and NPL, ii) a 22%YoY decline in finance cost as short-term borrowing continues to unwind. On an individual basis, HUBC is expected to report EPS of PkR8.91 (+5%YoY/+9%QoQ), while NPL is expected at PkR2.37 (+29%YoY/+2.2x QoQ). The YoY increase for NPL is due inclusion of EV subsidiary, while higher other income is anticipated is amid elevated cash and short term investments.

We anticipate HUBC to announce an interim cash payout of PkR5.0/sh during 3QFY26E, while no dividend is expected from NPL during the quarter.

Topline to remain stable in 3QFY26E: Cumulative net revenues for the universe are projected at PkR20.2bn (+8%YoY/+13%QoQ), as the sequential improvement primarily attributable to elevated RFO-based dispatch by both NPL and Narowal. HUBC's consolidated fleet generation is estimated 1,070gwh (22% utilization), marginally lower compared to 1,084gwh (22%) in SPLY. Conversely, NPL continues to benefit from elevated RFO dispatch given disruptions to RLNG cargo deliveries stemming from the Iran-US standoff, with the 200MW RFO plant's generation estimated at 45Gwh during 3QFY26 (up 2.2x YoY).

HUBC's BYD franchise to start local assembly in 4QFY26: HUBC, through its subsidiary HPHL and its 50% stake in Mega Motor Company, has exclusive rights for BYD vehicle distribution and local assembly in Pakistan, with CKD assembly of EVs and PHEVs targeted to commence in 4QFY26E. The BYD franchise is the largest EV company in Pakistan, delivering models including the Atto 3, Seal, Shark-6, alongside two new launches late last year i.e. Atto-2 and Sealion-7. We anticipate HUBC's auto segment to contribute a pre-tax share of profits of approximately PkR360mn (up 62%YoY), as volumes continue to steadily ramp-up. Additionally, company is also planning to establish country's first large-scale EV charging network spanning the motorway from Karachi to Peshawar.

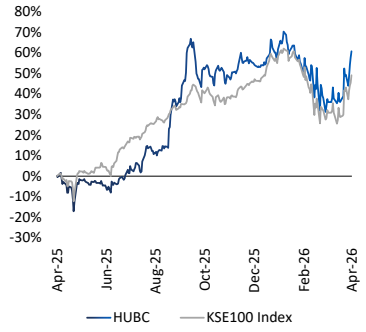
Investment Perspective: We have revised our FY26/27E annual dividend estimate for HUBC upward to PkR20/sh (vs. PkR14/sh and PkR15/sh previously), alongside an upward revision to our Dec'26 target price to PkR215/sh (from PkR196/sh previously), led by i) improved cash streams from the energy portfolio, ii) stronger-than-expected popularity of BYD's auto segment as consumer appetite for EVs continues to grow, and iii) faster-than-anticipated drawdown in trade debts and short-term borrowings. We have a 'HOLD' stance on HUBC with Dec'26 TP of PkR215/sh, while we maintain our previous 'HOLD' on NPL with an unchanged target price of PkR87/sh.

HUBC valuation snapshot

		FY26E		FY27E	
(PkR)	Target Price	EPS	DPS	EPS	DPS
New	215	35.9	20.0	41.5	20.0
Old	196	38.0	14.0	41.9	15.0
%chg	10%	-5%	43%	-1%	33%

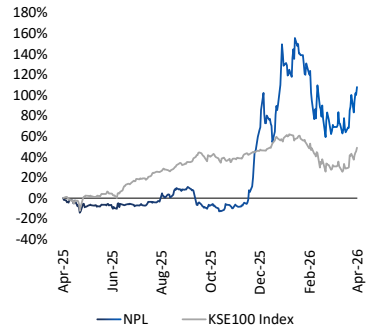
Source: PSX & AKD Research

HUBC vs. KSE100 index



Source: PSX & AKD Research

NPL vs. KSE100 index



Source: PSX & AKD Research

AKD Securities Limited

Power earnings up by 12%YoY during 9M

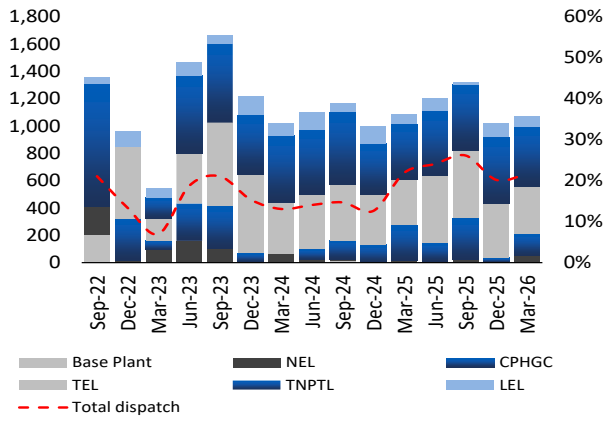
(PkRmn)	3QFY26E	3QFY25	YoY	2QFY26	QoQ	9MFY26E	9MFY25	YoY
Net Sales	20,239	18,756	8%	17,866	13%	57,174	69,812	-18%
Gross Profit	8,320	7,588	10%	7,692	8%	23,989	33,686	-29%
Opex	661	418	58%	797	-17%	2,210	2,201	0%
Other Income	1,404	1,833	-23%	1,804	-22%	4,962	4,939	0%
Share of Profit	11,348	10,195	11%	10,492	8%	32,634	30,357	8%
Finance Cost	2,268	2,896	-22%	2,304	-2%	7,080	12,495	-43%
PAT	14,041	13,132	7%	12,730	10%	40,635	36,155	12%

EPS (PkR)	3QFY26E	3QFY25	YoY	2QFY26	QoQ	9MFY26E	9MFY25	YoY
HUBC	8.91	8.50	5%	8.19	9%	26.07	26.49	-2%
NPL	2.37	1.83	29%	1.08	118%	5.10	-5.97	-185%

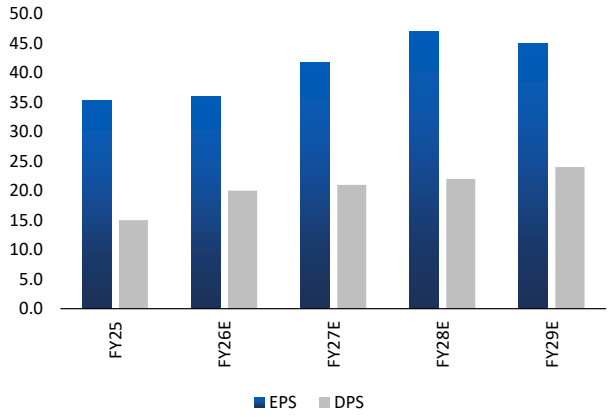
DPS (PkR)	3QFY26E	3QFY25	YoY	2QFY26	QoQ	9MFY26E	9MFY25	YoY
HUBC	5.0	-	-	5.0	0%	15.0	5.0	200%
NPL	-	2.0	n.m.	-	-	-	6.0	n.m.

Source: PSX & AKD Research

HUBC's generation fleet now more dependent on coal-based generation



...as cash payouts are anticipated to grow post FY27E



Source: PSX & AKD Research

Hub Power Company Ltd — Financial Data Bank

(Key Ratios)	FY25	FY26E	FY27E	FY28E	FY29E
EPS	35.3	35.9	41.5	46.3	44.3
DPS	15.0	20.0	20.0	22.0	25.0
BVS	188	204	234	271	308
PER	5.9	5.8	5.0	4.5	4.7
Dividend Yield	7.3%	9.7%	9.7%	10.6%	12.1%
P/BVS(x)	1.10	1.01	0.88	0.76	0.67
Earnings Growth	-35%	2%	16%	12%	-4%
ROE	19%	18%	18%	17%	14%
Gross Margin	47.8%	44.3%	46.5%	50.1%	51.7%
Net Margin	55.0%	66.5%	75.2%	80.2%	74.9%

Income Statement	FY25	FY26E	FY27E	FY28E	FY29E
(PkRmn)					
Sales	83,351	70,080	71,625	74,844	76,739
Gross Profit	39,824	31,074	33,284	37,473	39,652
EBITDA	41,727	32,246	34,683	38,928	41,149
Profit Before Tax	63,953	68,959	80,302	89,550	85,757
Net Profit	51,451	53,418	61,499	68,582	65,677

Balance Sheet	FY25	FY26E	FY27E	FY28E	FY29E
(PkRmn)					
Current Assets	92,310	109,358	85,531	88,179	111,886
Long Term Assets	322,412	322,365	366,238	403,813	418,865
Total Assets	414,722	431,724	451,769	491,992	530,751
Current Liabilities	63,110	72,639	61,855	60,683	59,831
Non-Current Liabilities	107,690	94,334	86,872	79,160	71,461
Total Liabilities	170,800	166,973	148,727	139,843	131,292
Total Equity	243,922	264,751	303,042	352,149	399,459

Cash flow	FY25	FY26E	FY27E	FY28E	FY29E
(PkRmn)					
CF from Operations	115,820	65,163	60,034	72,975	69,382
CF from Investing	-44,799	-3,371	-47,344	-41,101	-18,635
CF from Financing	-68,879	-40,527	-35,045	-29,092	-26,741
Net Change in Cash	2,143	21,266	-22,355	2,783	24,005
Cash & Cash Equivalents	31,248	34,771	12,416	15,199	39,204

Source: PSX & AKD Research

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To arrive at our period end target prices, AKDS uses different valuation techniques including:

- Discounted Cash Flow (DCF, DDM)
- Relative Valuation (P/E, P/B, P/S etc.)
- Equity & Asset return based methodologies (EVA, Residual Income etc.)

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